Ch #3 - Employment Income - Handout #4 (ANSWER)

Does Sandy qualify for the Reduced Operating Cost Benefit (50%+ work related KMs)?

Total Work KM =	14,000	=	73.68% (Yes - Reduction to Op. Benefit)
Total KM	19,000		

Note: Driving from home to work is considered personal driving

Calc'n of Operating Cost Benefit:

# of Personal KMs	$5,000
x Operating Benefit per KM	0.33
Operating Cost Benefit	$1,650 (Pre-Reduction Consideration to Op Benefit)

Since >50% work related KMs, select the lower of:

i) 1/2 of Standby Charge (from Assign #3)	**$880** ($1,760 / 2)
ii) Operating Cost Benefit Above	$1,650

Note: It doesn't matter that Sandy paid out of pocket for the gas. Instead, the company should pay for all the gas (doesn't impact the employee's benefit) and Sandy should provide a cash payment to her employer to compensate for personal Operating Benefit (that way she could then claim this payment as a reduction to the Operating Benefit).